

ARISTO EDUCATIONAL PRESS
HONG KONG DIPLOMA OF SECONDARY
EDUCATION EXAMINATION

(Mock Test 36)

Suggested Solution

Paper 1

1. C	11. C	21. D	31. A
2. A	12. C	22. D	32. A
3. B	13. D	23. B	33. C
4. C	14. D	24. D	34. C
5. D	15. C	25. A	35. D
6. A	16. A	26. A	36. B
7. D	17. D	27. C	37. C
8. A	18. B	28. D	38. B
9. B	19. B	29. C	39. A
10. B	20. A	30. B	40. B

Explanation

1. Answer: C

The \$500 Mr. Cheung spent on the concert ticket is a past expenditure that cannot be recovered, which is not the opportunity cost of going to watch the concert.

The bus fare of \$180 is the monetary cost of going to Macau to watch the concert.

If Mr. Cheung goes to watch the concert, he needs to give up the \$400 in income that he could have received from reselling the ticket to his friend. The \$400 is the non-monetary cost of going to watch the concert.

Mr. Cheung's opportunity cost of going to Macau to watch the concert = \$180 + \$400 = \$580

2. Answer: A

(1) and (2) are correct. The decisions to develop a new foldable phone and provide more colour options for existing phone models are related to the kinds of goods to produce.

(3) is incorrect. Moving the domestic production line overseas involves a change in production method and is related to the 'how to produce' problem.

(4) is incorrect. Increasing the selling price of smartphones is about who can get the smartphones and is related to the 'for whom to produce' problem.

3. Answer: B

A public limited company can issue shares and bonds to the public, while a private limited company cannot.

Option A is incorrect. A public limited company does not necessarily have more capital.

Option C is incorrect. A private limited company is not required to disclose its financial information to the public.

Option D is incorrect. The maximum number of shareholders of a private limited company is 50.

4. Answer: C

(2) and (3) are correct. Flight information and security services are non-excludable and non-rival in consumption. Their consumption is concurrent in nature, so they are public goods.

(1) is incorrect. Public restrooms are rival in consumption. When someone uses a restroom, the number of restrooms available for others decreases.

(4) is incorrect. The paid luggage storage service provided by the airport is excludable in consumption. The airport can exclude non-paying customers from using the service.

5. Answer: D

6. Answer: A

With more university graduates going to Silicon Valley to look for jobs, the average/marginal cost of hiring the workers they need decreases. The long run average cost of the technology enterprises will decrease, indicating that external economies of scale occur in the industry.

7. Answer: D

The rent of the factory does not change with output and is a fixed cost. Fabrics are a variable factor in the production of garments. An increase in the price of fabrics will increase the marginal cost per unit of garments.

As the marginal cost per unit of garments increases, the profit-maximising output and the profit will decrease. An increase in the fixed cost will not affect the profit-maximising output, but will reduce the profit.

Thus, the profit-maximising output and the profit of the factory will both decrease.

8. Answer: A

The situation implies that the price of the new drink is set above the equilibrium and the quantity demanded is smaller than the quantity supplied at this price. The quantity transacted is thus equal to the quantity demanded and smaller than the quantity supplied.

9. Answer: B

(1) is correct. Butter and margarine are substitutes. When the price of butter decreases, the demand for margarine will decrease and the equilibrium quantity will decrease.

(4) is correct. Lamb and wool are in joint supply. When the price of lamb decreases, the supply of wool will decrease and the equilibrium quantity will decrease.

(2) is incorrect. Smartphones and smartphone cases are complements. When the price of smartphones decreases, the demand for smartphone cases will increase and the equilibrium quantity will increase.

(3) is incorrect. Apple juice and apple pies use the same inputs and are in competitive supply. When the price of apple juice decreases, the supply of apple pies will increase and the equilibrium quantity will increase.

10. Answer: B

$$\text{Arc elasticity of supply} = \frac{\frac{(38 - 25)}{(25 + 38)/2} \times 100\%}{\frac{(30 - 11)}{(11 + 30)/2} \times 100\%} = 0.45$$

11. Answer: C

Given that the original market price is \$8, the original quantity transacted is 5 units (i.e. the original quota on good X is 5 units).

When the government increases the quota, the market price will decrease. If the market price drops by \$2 from \$8 to \$6 (the equilibrium price), this implies that the new quota is ineffective.

Option C is correct. Total revenue drops from \$40 (= \$8 × 5) to \$36 (= \$6 × 6).

Option A is incorrect. The market for good X is at equilibrium and there will be no shortage.

Option B is incorrect. The quantity transacted will increase from 5 units to 6 units.

Option D is incorrect. When the market price of good X decreases, the demand for its complements will increase and the equilibrium price will increase.

12. Answer: C

The original equilibrium price is \$10 and the equilibrium quantity is 8 units. After the imposition of the per-unit sales tax, the new equilibrium price is \$12 and the new equilibrium quantity is 6 units.

Unit price (\$)	9	10	11	12	13	14
Quantity demanded (units)	9	8	7	6	5	4
Original quantity supplied (units)	6	8	10	12	14	16
New quantity supplied (units)	-	-	-	6	8	10

Option C is correct.

Consumers' tax burden = \$12 [= (\$12 – \$10) × 6]

Producers' tax burden = \$6 [= [\$10 – (\$12 – \$3)] × 6]

The ratio of consumers' tax burden to producers' tax burden will be 2:1.

Option A is incorrect. The total tax revenue of the government will be \$18 (= \$3 × 6).

Option B is incorrect. The producers' total revenue net of tax will be \$54 (= \$12 × 6 – \$3 × 6).

Option D is incorrect. Total expenditure decreases from \$80 ($= \10×8) to \$72 ($= \12×6) as the price increases from \$10 to \$12. Therefore, the demand is elastic within this price range.

OR

Within the range of the original and the new equilibrium prices, the elasticity of demand of good X is larger than one.

$$\text{Arc elasticity of demand} = \left| \frac{\frac{(6 - 8)}{(8 + 6)/2} \times 100\%}{\frac{(12 - 10)}{(10 + 12)/2} \times 100\%} \right| = 1.57$$

13. Answer: D

The original equilibrium price is \$7 and the equilibrium quantity is 10 units. After the provision of the per-unit subsidy, the new equilibrium quantity is 12 units and the new equilibrium price is \$5.

Unit price (\$)	4	5	6	7	8	9
Original quantity supplied (units)	4	6	8	10	12	14
New quantity supplied (units)	10	12	14	-	-	-

Option D is correct. The producers' total revenue including the subsidy is \$96 ($= \$5 \times 12 + \3×12).

Option A is incorrect. The new equilibrium price is \$5, a decrease of \$2.

Option B is incorrect. The total subsidy granted by the government is \$36 ($= \3×12).

Option C is incorrect.

Consumers' share of the subsidy = \$24 ($= \2×12)

Producers' share of the subsidy = \$12 [$= [(\$5 + \$3) - \$7] \times 12$]

The consumers' share of the subsidy is larger than the producers' share of the subsidy, implying that the supply is more elastic than the demand.

14. Answer: D

15. Answer: C

The original consumer surplus is area a and the total social surplus is area (a + b + d).

When the supply increases, the new consumer surplus will be area (a + b + c) and the total social surplus will be area (a + b + c + d + e).

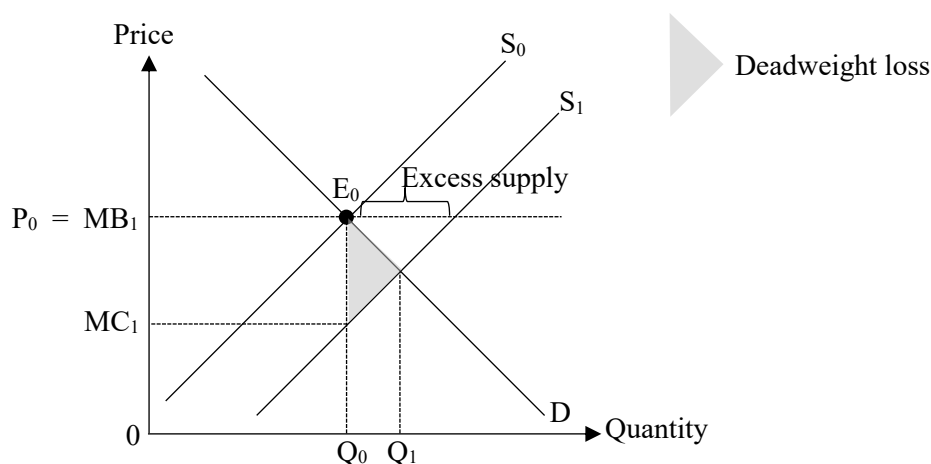
Consumer surplus will increase by area (b + c), while total social surplus will increase by area (c + e).

16. Answer: A

(1) is correct. When the supply curve shifts from S_0 to S_1 , the price floor P_0 will be higher than the new equilibrium price, and there will be an excess supply in the market of good X.

(2) is correct. At the quantity transacted Q_0 , the marginal benefit (MB_1) is higher than the marginal cost (MC_1), so the output is lower than the efficient output level (Q_1), and there will be a deadweight loss.

(3) is incorrect. The marginal benefit of the last unit of good X will remain unchanged (MB_1).



17. Answer: D

18. Answer: B

If the stores do not give any compensation to the shopping malls, there will be an external benefit. The marginal social benefit of broadcasting Olympic events will be higher than the marginal social cost, and the number of broadcasts of Olympic events will be lower than the efficient level.

Option A is incorrect. There is not enough information to determine whether government intervention is needed to achieve efficiency.

Option C is incorrect. This case shows a divergence between private and social benefits, not a divergence between private and social costs.

Option D is incorrect. Compensation provided by the stores to the shopping malls may narrow the gap between marginal social benefit and marginal social cost, but they may not necessarily become equal.

19. Answer: B

(1) is correct. The two Gini coefficients calculated based on different income data decreased.

(3) is correct. The Gini coefficient based on post-tax post-social transfer household income was lower than the Gini coefficient based on pre-tax pre-social transfer household income, implying that the post-tax post-social transfer household income was more evenly distributed than the pre-tax pre-social transfer income.

(2) is incorrect. The information does not reflect the actual amounts of tax revenue and social transfers.

20. Answer: A

(1) is correct. The recipients are mainly low-income people, so the income gap between the rich and the poor will narrow.

(2) is correct. This allowance can increase the incentive for potential beneficiaries to find jobs. Some people aged 40 or above who were not in the labour force may find jobs because of the scheme. Hong Kong's labour supply will increase.

(3) is incorrect. This subsidy will increase the value of finding a job for these people, while their opportunity cost of finding a job will not be affected.

21. Answer: D

(1) is correct. The Social Welfare Department is a government department. The payments made to government employees would be included in government consumption expenditure.

(2) is correct. The rental payment reflects the income received by the owner of a factor of production (the private property owner) for providing a factor service (the property).

(3) is incorrect. Disability allowance is a transfer payment and does not involve any production.

22. Answer: D

Contribution of the domestic electric car manufacturers to Country A's GDP at factor cost
 $= \$800 + \$300 - \$500 - \$400 + \$200 = \400

Contribution of the above production chain to Country A's GDP at factor cost
 $= \$400 + (\$800 + \$300 - \$500 - \$400 + \$200) + (\$1,000 + \$400 - \$800) = \$1,400$

23. Answer: B

GDP at factor cost = GDP at market prices – Indirect taxes + Subsidies

GDP at factor cost = Private consumption expenditure + Gross investment + Government consumption expenditure + Net exports – Indirect taxes + Subsidies

$750 = 250 + (200 + X) + 150 + 180 - 27 + 12$

$X = -15$

24. Answer: D

Implicit price deflator of GDP = $\frac{\text{Nominal GDP}}{\text{Real GDP}} \times 100$

Option D is correct. The nominal GDP was equal to the real GDP in 2010 and 2020, which means that the GDP deflator was equal to 100 in both years.

Option A is incorrect. The ratio of nominal GDP to real GDP increased, reflecting an increase in the GDP deflator, which means that the general price level was increasing between 2000 and 2010.

Option B is incorrect. In 2005, the nominal GDP was lower than the real GDP, which means that the GDP deflator was smaller than 100. In 2015, the nominal GDP was higher than the real GDP, which means the GDP deflator was greater than 100. The general price level in 2015 was higher than that in 2005.

Option C is incorrect. From 2015 to 2020, Country A's nominal GDP decreased.

25. Answer: A

The growth rate of nominal GDP (6.1%) was higher than the growth rate of the population (0.7%), reflecting an increase in per capita nominal GDP.

Real GDP = (Nominal GDP / Implicit price deflator of GDP) $\times 100$

In 2023, the growth rate of nominal GDP (6.1%) was higher than the growth rate of the implicit price deflator of GDP (2.8%), meaning that real GDP increased by about 3.2% $[= (1 + 6.1\%) / (1 + 2.8\%) - 1]$.

Since the growth rate of real GDP (3.2%) was higher than the growth rate of the population (0.7%), per capita real GDP increased.

26. Answer: A

GNI = GDP + Factor income earned by residents outside the economic territory – Factor income earned by non-residents within the economic territory

Option A is correct. This is factor income earned by a resident outside the economic territory.

Options B is incorrect. Since the chef has been working in Japan for more than a year, he is no longer considered a resident of Hong Kong. Therefore, the income he earned would not be classified as factor income earned by a resident outside the economic territory.

Option C is incorrect. It is income earned by a resident within the economic territory.

Option D is incorrect. This is factor income earned by a non-resident within the economic territory.

27. Answer: C

A rightward shift of the AD curve reflects an increase in aggregate demand.

(2) is correct. When the economy relaxes visa requirements for foreign travellers, the number of travellers to the economy will increase. Net exports will increase, and aggregate demand will increase.

(3) is correct. When electronic payments become more common, the transaction demand for money will decrease and the money demand will decrease. The equilibrium interest rate will decrease. Private consumption expenditure/Investment expenditure will increase. Aggregate demand will increase.

(1) is incorrect. When people increase their savings, private consumption expenditure will decrease. Aggregate demand will decrease.

28. Answer: D

A rightward shift of the SRAS curve reflects an increase in short run aggregate supply.

(3) is correct. When more firms use artificial intelligence to assist with production, the productivity of the firms will increase and short run aggregate supply will increase.

(4) is correct. When Country A's major trading partner abolishes the embargo on exporting oil, the supply of oil will increase. Country A can obtain inputs at a lower price, so short run aggregate supply will increase.

(1) is incorrect. When more firms expect the general price level to increase, short run aggregate supply will decrease.

(2) is incorrect. When Country A's trading partner experiences an economic recovery, the net exports of Country A will increase and aggregate demand will increase.

29. Answer: C

When Country A discovers a large natural gas field, its endowment of resources will increase, and its productive capacity will increase. Long run aggregate supply will increase.

The government plans to extract the natural gas on its own, so government consumption expenditure will increase and aggregate demand will increase.

30. Answer: B

When aggregate demand decreases, the long run equilibrium point will change from E to A.

(1) is correct. When people prefer to use imported cars instead of locally produced cars, net exports will decrease and aggregate demand will decrease.

(3) is correct. When firms are pessimistic about business prospects, investment expenditure will decrease and aggregate demand will decrease.

(2) is incorrect. When the price of raw materials decreases, firms' production costs will decrease, and short run aggregate supply will increase.

31. Answer: A

When the transportation cost of raw materials increases, the production cost of firms will increase and short run aggregate supply will decrease. The aggregate output will decrease, narrowing the inflationary (output) gap, while the general price level will increase.

Option B is incorrect. Improvement in production technology will increase short run aggregate supply and long run aggregate supply. The general price level will decrease.

Option C is incorrect. When the government provides subsidies to companies that invest in building factories, companies will increase their investment expenditure and aggregate demand will increase. The inflationary (output) gap will be widened and the general price level will increase.

Option D is incorrect. The government reducing the living allowance for the elderly will reduce their disposable income, and private consumption expenditure will decrease. Aggregate demand will decrease, narrowing the inflationary (output) gap. However, the general price level will decrease.

32. Answer: A

When people buy more locally produced goods, private consumption expenditure will increase and aggregate demand will increase. In the short run, aggregate output will increase.

Option A is correct. When production is suspended, short run aggregate supply will decrease and aggregate output will decrease, thereby offsetting the effect of the booming stock market on aggregate output in the short run.

Option B is incorrect. When a billionaire funds the construction of a new university, investment expenditure will increase. Aggregate demand will increase and aggregate output will increase further.

Option C is incorrect. When a large-scale strike in Country A comes to an end, short run aggregate supply will increase, and aggregate output will increase further in the short run.

Option D is incorrect. When the government lowers the general sales tax rate, short run aggregate supply will increase, and aggregate output will increase further in the short run.

33. Answer: C

If the oil pipelines of a major oil-exporting country are damaged, the supply of oil will decrease and the oil price will increase. The production cost of Country A will increase and the short run aggregate supply will decrease. The SRAS curve will shift from $SRAS_0$ to $SRAS_2$, and the short run equilibrium will be at E_2 . In the long run, the SRAS curve will shift back to $SRAS_0$, and the long run equilibrium will be at E_0 .

34. Answer: C

(3) is correct. The provision of subsidies on medicine for patients with chronic diseases will make it easier for them to obtain the medicines they need. They are less likely to be deprived of necessary medications due to financial constraints. This is likely to increase their future productivity and income and help equalise opportunities. Providing subsidies on medicine can also increase the disposable income of the recipients. Private consumption expenditure will increase and aggregate demand will increase, narrowing the deflationary (output) gap.

(1) is incorrect. Compared to the rich, the poor do not get more resources to improve their productivity or increase their future income, so distributing the same amount of cash to all households will not help equalise opportunities.

(2) is incorrect. This ensures that the civil servants do not lose the opportunity for further studies due to financial constraints, thereby helping equalise opportunities. However, arranging for more civil servants to study abroad will reduce the labour force. The short run aggregate supply will decrease, thus widening the deflationary (output) gap.

35. Answer: D

(1) is correct. The Hong Kong dollar is used to quote the interest.

(2) is correct. The Hong Kong dollar is used to store purchasing power for future use.

(3) is correct. The Hong Kong dollar is used to quote future payments (interest) from banks.

36. Answer: B

(1) is correct. Licensed banks can accept deposits of any type, in any amount and with any maturity.

(2) is correct. Deposit-taking companies can accept time deposits of HK\$100,000 or above with an original maturity of at least three months.

(3) is incorrect. Restricted licence banks cannot accept deposits of less than HK\$500,000.

37. Answer: C

38. Answer: B

Monetary base = Cash in public circulation + Bank reserves

Bank reserves = \$(600 – 100) million = \$500 million

Money supply = Cash in public circulation + Bank deposits

Bank deposits = \$(1,100 – 100) million = \$1,000 million

Required reserve ratio = [(Actual reserves – Excess reserves) / Bank deposits] × 100%

= \$[(500 – 100) million / \$1,000 million] × 100% = 40%

Option B is correct.

Actual reserve ratio = (Actual reserves / Total deposits) × 100%

Actual reserve ratio = (\$500 million / \$1,000 million) × 100% = 50%

Actual banking multiplier = 1 / Actual reserve ratio = 1 / 50% = 2

Option A is incorrect. Required reserves = \$1,000 million × 40% = \$400 million

Option C is incorrect. If the public withdraw \$50 million from the banking system, bank reserves will become \$450 million and bank deposits will become \$950 million immediately. Required reserves will be \$380 million (= \$950 million × 40%) and excess reserves will be \$70 million (= \$450 million – \$380 million). The excess reserves will immediately drop by \$30 million.

Option D is incorrect. If the banks lend out all their excess reserves, bank deposits will be \$1,250 million [= \$500 million × (1 / 40%)]. The new money supply will increase by \$250 million to \$1,350 million.

39. Answer: A

Original required reserve ratio = (Required reserves / Bank deposits) × 100%

= (\$250 million / \$1,000 million) × 100% = 25%

New required reserve ratio = 25% – 5% = 20%

(1) is correct. When the required reserve ratio is lowered to 20% and the banks are fully loaned up, the new bank deposits will be \$2,000 million (= \$400 million × 1/20%).

Loans = Bank deposits – Reserves

New loans = \$(2,000 – 400) million = \$1,600 million

Loans will increase by \$1,000 million (= \$1,600 million – \$600 million).

(2) is correct. Original money supply = \$(50 + 1,000) million = \$1,050 million

New money supply = \$(50 + 2,000) million = \$2,050 million

The money supply will increase by \$1,000 million.

(3) is incorrect. After the required reserve ratio is lowered, cash in public circulation and bank reserves will remain unchanged, so the monetary base will remain unchanged.

40. Answer: B

When the central bank lowers the required reserve ratio, the money supply will increase. The money supply curve will shift to the right from M_{s0} to M_{s2} . When the income of the public rises, the transaction demand for money will increase, and the money demand curve will shift to the right from M_{d0} to M_{d2} .

Paper 2

Section A (34 marks)

1. Yes. The policy helps equalise income. (1 mark)
The policy can increase the income of the low-income group (the unemployed) while the high-income group (the employed) do not benefit from the allowance, thereby narrowing the income gap between the high-income and the low-income groups. (2 marks)
2. (a) Advantages:
- It is easier for government departments to obtain information about the public to make decisions.
 - Government departments have relatively adequate and stable sources of funds.
 - Government departments can provide stable services at lower prices.
 - Any reasonable answers
- (Mark the **FIRST TWO** points only)
- (b) Labour, because the Director of Highways is human effort used in production. (2 marks)
3. (a) A reason:
- The fitness centre chain may be given discounts when it purchases inputs in large quantities (e.g. fitness equipment).
 - The fitness centre may spread the costs of marketing over a large quantity of output.
 - Any reasonable answer
- (Mark the **FIRST** point only)
- (b) Since the fitness trainer is not a resident of Hong Kong, his income is factor income earned by a non-resident within Hong Kong. (2 marks)
- (c) A reason:
- Different companies offer heterogeneous services, such as different fitness facilities.
 - The market information is imperfect, such as information about service quality.
 - There is non-price competition, such as advertising.
 - Any reasonable answer
- (Mark the **FIRST** point only)

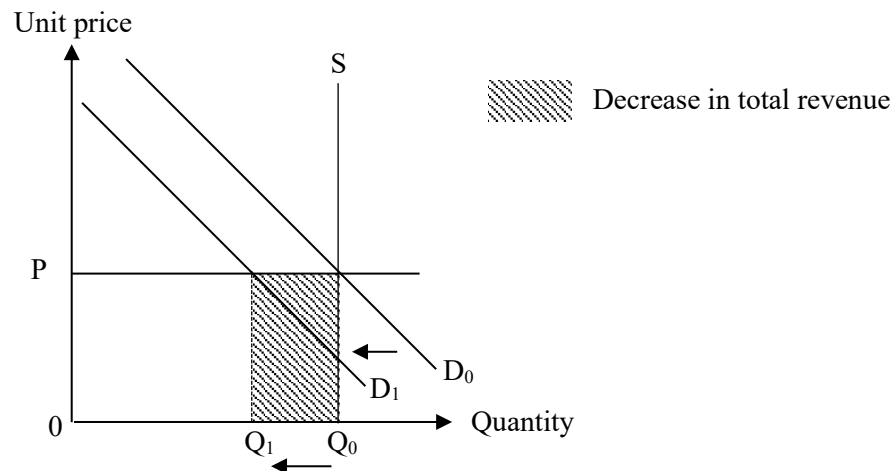
4. Verbal elaboration:

When people cancel their reservations due to concerns about aftershocks, demand for hotel rooms will decrease. (1 mark)

The quantity transacted will decrease. Given that the price remains unchanged, total revenue will decrease. (1 mark)

Illustrate in the diagram:

- leftward shift of the demand curve (1 mark)
- vertical supply curve (1 mark)
- correct position of the decrease in total revenue (1 mark)



5. (a) Verbal elaboration:

A deflationary (output) gap is the difference by which the short run equilibrium output level falls below the full-employment output level. (1 mark)

Illustrate in the diagram:

- correct position of gap₀ (1 mark)

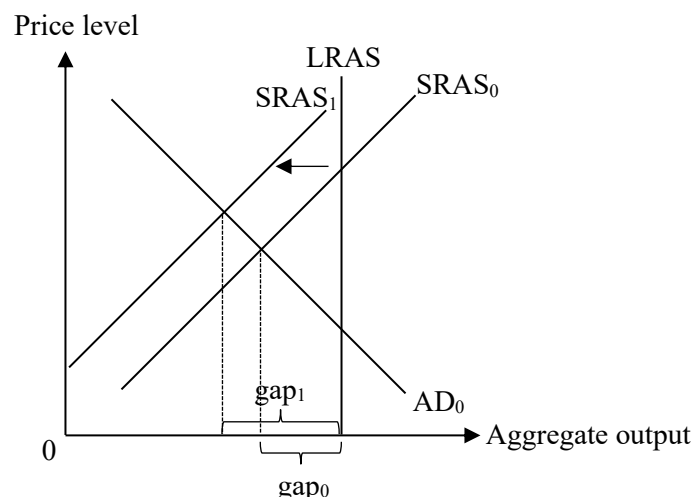
(b) Verbal elaboration:

When the government reduces the production subsidy provided to firms, their production cost will increase and short run aggregate supply will decrease. (2 marks)

The deflationary (output) gap will be widened. (1 mark)

Illustrate in the diagram:

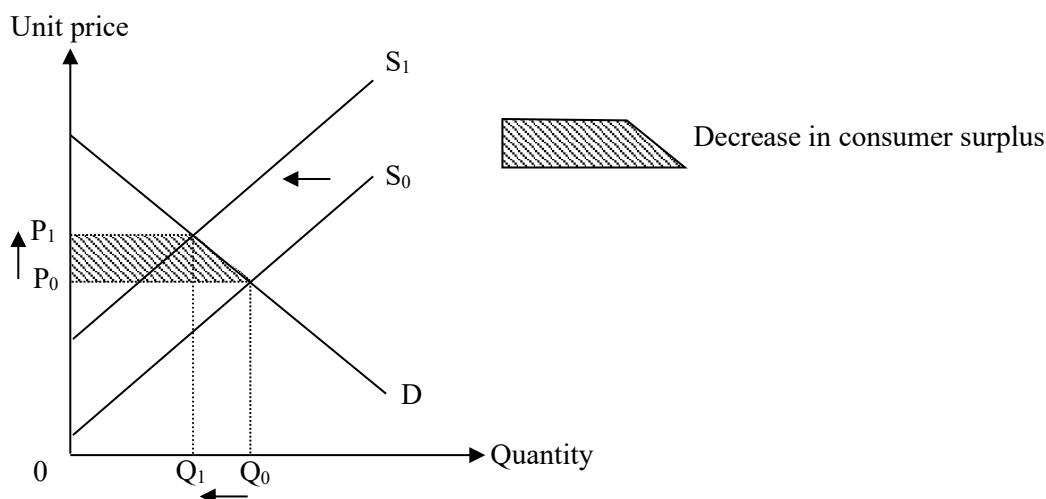
- leftward shift of the AD curve (1 mark)
- correct position of gap₁ (1 mark)



6. (a) Required reserve ratio = $[(\$1,000 \text{ million} - \$250 \text{ million}) / \$3,000 \text{ million}] \times 100\% = 25\%$ (1 mark)
- (b) (i) Monetary base = $\$200 \text{ million} + (\$1,000 - 400) \text{ million} = \800 million (2 marks)
 Money supply = $\$200 \text{ million} + [(\$1,000 \text{ million} - \$400 \text{ million}) \times 1/25\%]$
 = $\$2,600 \text{ million}$ (2 marks)
- (ii) Medium of exchange: The currency of the economy serves as a medium to facilitate people's buying and selling of the overseas enterprise. (2 marks)
 Unit of account: The value of the overseas enterprise is expressed in terms of the currency of the economy. (2 marks)

Section B (46 marks)

7. (a) Positive statement. (1 mark)
 It is refutable by facts. (1 mark)
- (b) Verbal elaboration:
 Agricultural land and solar farms are in competitive supply. When more agricultural land is converted into solar farms, the area of agricultural land will decrease and the supply of crops will decrease. (2 marks)
 The consumer surplus will decrease. (1 mark)
Illustrate in the diagram:
 - leftward shift of the supply curve (1 mark)
 - price increases, consumer surplus decreases (1 mark)



- (c) According to the representative of an environmental group, building more solar farms will help alleviate climate change problems. As the beneficiaries (whose chances of being affected by climate change problems are reduced) do not give any compensation to the operators of the solar farms, an external benefit exists. The marginal social benefit is higher than the marginal social cost, implying that the number of solar power panels is below the efficient level. The provision of the subsidy can lower the marginal private cost, thereby increasing the number of solar power panels towards the efficient level. Therefore, the gap between the marginal social benefit and marginal social cost will be narrowed. (4 marks)

8. (a) No, the subsidies should be counted as transfer payment. (2 marks)

(b) Verbal elaboration:

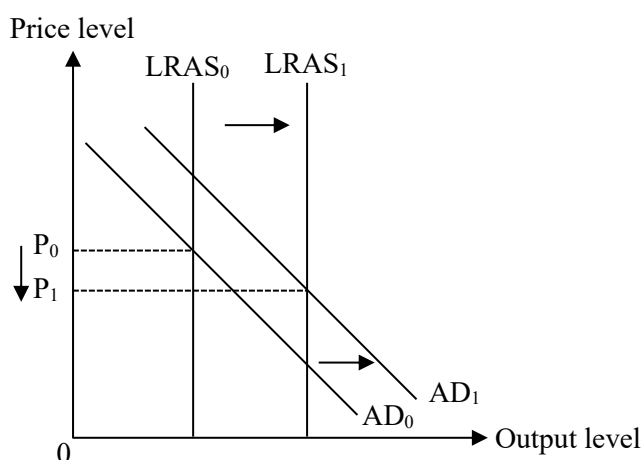
An increase in the birth rate will raise South Korea's future productive capacity and the long run aggregate supply will increase. At the same time, an increase in population will raise private consumption expenditure and aggregate demand will increase. If the effect of an increase in long run aggregate supply on the general price level is greater than the effect of an increase in aggregate demand on the general price level, the general price level will decrease. (4 marks)

Illustrate in the diagram:

- rightward shift of AD curve (1 mark)

- rightward shift of LRAS curve (1 mark)

- a lower general price level (1 mark)



- (c) Filipino domestic workers and local domestic workers in South Korea are substitutes. Allowing Filipino domestic workers to work in South Korea will increase the availability of substitutes. The price elasticity of demand for local domestic workers in South Korea will increase. (3 marks)

9. (a) The importance of Hong Kong's retail industry relative to the GDP Hong Kong decreased in the first half of 2024, as total retail sales dropped faster than the GDP at current market prices. (2 marks)

(b) A reason:

- The retail industry sells goods that are not produced locally, some goods are imported.
- Part of the sales revenue is from the sale of inventories.
- Any reasonable answer

2@, max: 2 marks

(Mark the **FIRST** point only)

- (c) When the value of shop premises held by people decreases, their wealth will decrease. Private consumption expenditure will decrease and aggregate demand will decrease. (2 marks)

- (d) Full cost = Monetary cost + Non-monetary cost

Although the monetary cost of buying the same goods in nearby regions is lower than that in Hong Kong, the time cost of shopping in nearby regions may be higher. If the extra time cost outweighs the monetary cost saved, in terms of full cost, the opportunity cost of buying the same goods in nearby regions will be higher than that in Hong Kong. (3 marks)

- (e) Marks awarded for effective communication (EC: max 2 marks)

Marks	Performance
2	• Arguments supported with the source/data and appropriate economic theories • Relevant materials presented • Well-organised and coherent answers presented without repetition of ideas • Ideas clearly and fluently expressed with appropriate use of language/words/terms/symbols
1	• Arguments presented with some support of the source/data and economic theories • Some irrelevant materials presented • Answers presented in a less organised way with some repetition of ideas • A clear message conveyed with some inappropriate use of language/words/terms/symbols
0	• Arguments presented with no support of the source/data and economic theories • Materials unrelated to the gist of the question presented • Inconsistent arguments presented • Limited ideas expressed with inappropriate use of words/terms/symbols

The maximum marks for content are 12 marks. Answers may include the following:

Effects on profit-maximising output of local retail stores

Proposal I:

- Distributing consumption vouchers to residents will directly increase Hong Kong residents' demand for retail goods, causing the prices of retail goods to increase. The marginal revenue of local retail stores will increase and the profit-maximising output will increase.

Proposal II:

- With reference to the view of the local retail store owner in Source C, for store owners who have signed rental contracts, breaking the contracts will incur a high cost and thus rent is a fixed cost. The provision of a rent subsidy to retail stores will only lower their fixed costs and not affect their profit-maximising output.

Effects on income distribution

Proposal I:

- Since all Hong Kong residents will receive the consumption vouchers, the income of low-income households will increase by a larger percentage than that of high-income households, so the income distribution will become more even.

Proposal II:

- Providing a rent subsidy to retail stores in Hong Kong will mainly benefit the retail store owners. Their income may increase and the income distribution may become more uneven.

Effects on general price level

Proposal I:

- When Hong Kong residents receive the consumption vouchers, their disposable income will increase and private consumption expenditure will increase. Aggregate demand will increase. The general price level will increase.

Proposal II:

- With reference to the person who would like to open a store in Source C, providing a rent subsidy to retail stores in Hong Kong will attract more people to open retail stores. Investment expenditure will increase and aggregate demand will increase. The general price level will increase.

- As their expense on rent decreases, the production cost for retail stores will decrease and the short run aggregate supply will increase. The general price level will decrease.